Balance Sheet as on 31st December, 2016

Liabilities	₹	₹	Assets	₹	₹
			Sundry debtors	20,000	
			Less: Provision for bad and doubtful debts	1,000	19,000

Illustration 6

Abstracts from the trial balance as on 31st March, 2016:

Particulars	Debit ₹
Sundry debtors	52,000
Bad debts	1,000

Adjustments:

(i) Additional bad debts ₹2,000

(ii) Create 5% provision for bad and doubtful debts

You are required to pass necessary adjusting entries and show how these items will appear in final accounts.

Solution

Working note:

Particulars	₹
Sundry debtors	52,000
Less: Additional Bad debts	2,000
	50,000

Provision for bad and doubtful debts = ₹50,000 x 5/100 = ₹2,500

Adjusting entry

Date	Particulars		L.F.	Debit ₹	Credit ₹
2016 March 31	Bad debts A/c	Dr.		2,000	
	To Sundry debtors A/c				2,000
	(Bad debts written off)				
March 31	Profit and Loss A/c	Dr.		2,500	
	To Provision for bad and doubtful debts A/c				2,500
	(Provision for bad and doubtful debts created)				

Dr. Profit and loss account for the year ended 31st March, 2016 Cr.

Particulars	₹	₹	Particulars	₹	₹
To Bad debts	1,000				
Add: Additional bad debts	2,000	3,000			
To Provision for bad and doubtful debts		2,500			

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